IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- III)

CA (CAA) -98/(ND)/2022

Under Sections 230 to 232 of the Companies Act, 2013 read with Companies (Compromise, Arrangements ad Amalgamation Rules, 2016)

IN THE MATTER OF SCHEME OF ARRANGEMENT:

AMONG

HARITA FEHRER LIMITED

…….TRANSFEROR COMPANY
(APPLICANT COMPANY-l)

AND

MINDA STORAGE BATTERIES PRIVATE LIMITED

……DEMERGED COMPANY/
(APPLICANT COMPANY – 2)

AND

UNO MINDA LIMITED
(Formerly known as M/s. Minda Industries Limited)

…….TRANSFEREE COMPANY/
RESULTANT COMPANY/
(APPLICANT COMPANY -3)

(Hereinafter the Applicant Company No.1, Applicant Company No.2 and Applicant Company No.3 are collectively referred to as 'the Applicant Companies')

Order Delivered on: 25.01.2023

CORAM:
SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)
DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

For Applicant: Adv. P Nagesh

ORDER

PER: DR. BINOD KUMAR SINHA, MEMBER (TECHNICAL)

Under Consideration is the Company Scheme Application jointly filed by the Applicant Companies under Sections 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) for the purpose of approving the proposed Scheme of Arrangement ('Scheme') among M/s. Harita Fehrer Limited (Applicant Company No.1), M/s. Minda Storage Batteries Private Limited ('Applicant Company No.2) and M/s. Uno Minda Limited, formerly known as M/s. Minda Industries Limited ('Applicant Company No. 3). The copy of the proposed scheme of Arrangement has been placed on record. It is represented that the registered office of all the Applicant Companies are situated in Delhi, therefore, jurisdiction lies with this Tribunal.

2. M/s. Harita Fehrer Limited, HFL ("Transferor Company" or "Applicant Company - l') bearing CIN U25200DL2008PLC398163 incorporated on 09.07.2008 and registered office of the Applicant Company-1 is presently situated at B-64/1 Wazirpur Industrial Area West Delhi - 110052. The Authorized Share Capital of the Applicant Company- 1 is Rs. 201000000/- The Issued, paid-up and subscribed capital of the Applicant Company- 1 is Rs.200980400 /-.

3. M/s. Minda Storage Batteries Private Limited, MSBPL ("Demerged Company" or "Applicant Company No. 2") bearing CIN U35900DL2011PTC228383 incorporated on 7.12.2011 having registered office situated at B-64/1 Wazirpur Industrial Area West Delhi - 110052. The Authorized Capital of the Applicant Company-2 is Rs.1900000000/-. The Issued, Paid-Up and Subscribed Capital of the Applicant Company-2 is Rs.1886000000/-.

4. M/s. Uno Minda Limited (UNO Minda)("Transferee Company" or "Applicant Company No. 3" or "Resulting Company") bearing CIN:

L74899DL1992PLC050333 was incorporated on 16.09.1992 under the name and style of M/s. Minda Industries Limited. The Registered office of the Company is presently situated at B-64/1 Wazirpur Industrial Area Wesr Delhi - 110052 India. The Authorized Capital of the Applicant Company No.3 is Rs.5,11,69,20,500 /-. The Issued, Paid-Up And Subscribed Capital of the Applicant Company-3 is Rs.1,14,52,73,460 /-

5. An affidavit in support of the above applications sworn for and on the behalf of Applicant Company No. 1/ Transferor Company and Applicant Company No. 3 / Transferee Company is sworn by one Mr. Tarun Kumar Srivastava.

6. The Board of Directors of the respective Applicant Companies have approved the proposed scheme of Arrangement in their respective Board Meetings held on 24.05.2022. The certified copy of the Board Resolutions of the Applicant Company No.1, Applicant Company No.2 and Applicant Company No.3 are annexed as Annexure – A5 (Page 278-284), Annexure – A14 (Page 384-387) and Annexure – A24 (Page 747-750) of the Company Scheme Application respectively.

7. The Ld. Counsel for the Applicant Companies submits that the shares of the Applicant Company No.1 and Applicant Company No.2 are not listed on any stock exchange(s). The Ld. Counsel further submits that the equity shares of the Applicant Company No.3 are listed on BSE Limited ('BSE') and National Stock Exchange of India Limited ('NSE').

8. The Ld. Counsel for the Applicant Companies submits that the Applicant Company No.1/Transferor Company and Applicant Company No.2/ Demerged Company are direct wholly owned subsidiaries of the Applicant Company No.3/Transferee Company/Demerged Company as entire share capital of Applicant Company No.1 and Applicant Company No.2 are held by Applicant Company No.3.

9. The Learned Counsel for the Applicant Companies submits that the rationale for the Scheme of Arrangement between the Applicant Companies are as follows:

A) Rationale of Part II of the Scheme providing for amalgamation of Transferor Company/ Applicant Company No.1 with Transferee Company/Applicant Company No.3 are as follow:-

i) Transferor Company is a wholly owned subsidiary Company of UNO MINDA engaged in manufacturing of Polyurethane (PU) foam pads, two/three wheeler seats, PU composites, MCU and interior modules and some of its products such as PU foam are required for manufacture of seats by Seating division of UNO MINDA hence, consolidation of HFL by way of proposed amalgamation would lead to avail synergy's benefit like smooth functioning and to manage the operations effectively, efficient utilization of capital and help to achieve a streamlined structure by eliminating multiple entities.

ii) The proposed amalgamation will lead to elimination of multiple administrative functions and record-keeping and enhance operational efficiencies, thus resulting in reduced compliance and administrative costs.

iii) The proposed amalgamation will lead to greater efficiency in fund management and deployment for the combined entity, and unfettered access to cash flows generated by the businesses which can be deployed more efficiently for funding growth opportunities to maximize Members' value.

iv) The Scheme shall be in the beneficial interest of the Members and Creditors of the each party of the Scheme and shall not be in any manner prejudicial to the interest of the concerned Members, creditors, employees and/ or any other person(s) whether interested or not.

v) The Scheme of Arrangement will result in the establishment of a larger company with large resources and a larger capital base and a

greater capacity to raise funds for expansion, modernization and development of the businesses of the companies concerned.

vi) The Scheme would be beneficial to and in the best interest of the shareholders & creditors, if any, of HFL and UNO MINDA. The Scheme shall not in any manner be prejudicial to the interests of concerned shareholders/ creditors and general public at large.

B) Rationale of Part III of the Scheme providing for amalgamation of Demerged Undertaking of Demerged Company/ Applicant Company No.2 with Resulting Company/Applicant Company No.3 are as follow:-

i) MSBPL is a wholly owned subsidiary of UNO MINDA and engaged in the business of manufacturing of batteries for two wheeler, four-wheeler and industrial batteries in automotive sector. The products of MSBPL are apart from supplies to other customers are also sold by Aftermarket division of UNO MINDA.

ii) The proposed scheme of demerger of domestic business of MSBPL and vesting into UNO MINDA shall result in the expanding the business of UNO MINDA in the growing markets of India, thereby creating greater value for the shareholders/stakeholders of UNO MINDA.

iii) The Combination of the Demerged Undertaking with UNO MINDA is a strategic fit for serving existing market and for catering to additional volume linked to new consumers as the products of MSBPL synergies well with the products of UNO MINDA.

iv) The proposed restructuring will lead to greater efficiency in fund management and deployment for the combined entity, and enhance competitive strength, achieve cost reduction and productivity gains by pooling the technologies and resources of the MSBPL and UNO MINDA thereby significantly contributing to the future growth and maximizing shareholders value.

v) The Scheme would be beneficial to and in the best interest of the shareholders & creditors, if any, of MSBPL and UNO MINDA. The Scheme shall not in any manner be prejudicial to the interests of concerned shareholders/ creditors and general public at large.

10. The Applicant Companies have placed on record their respective Memorandum of Association ('MoAs), Article of Associations ('AoAs), MCA Master Date, List of Directors, List of Shareholders, List of Secured and Unsecured Creditors. The Applicant Companies further placed on record the Audited Balance Sheet of the respective Applicant Companies as on 31.03.2022. The Applicant Company No.3 have further placed on record the copy of the acknowledgement of filing the scheme of Arrangement with BSE and NSE in terms of SEBI circular and certificate dated 22.08.2022 issued by its statutory auditor certifying conformity of accounting treatment in the scheme being in consonance with Section 133 of the Companies Act, 2013. The copy of the acknowledgement of filing the Scheme of Arrangement with BSE and NSE and certificate of statutory auditor of the Applicant Company No.3 are annexed a**s 'Annexure A-21' and 'Annexure A-29'** respectively to the Company Scheme Application.

11. The Learned Counsel for the Applicant Companies submits that the Appointed Date for the Scheme of Arrangement means April 01,2022 or any such date as may be approved by the approving authority. The copy of the Scheme of Arrangement between the Applicant Companies is annexed as '**Annexure-A1'** to the Company Scheme Application.

12. The Ld. Counsel for the Applicant Companies submits that since the Applicant Company No.1 and Applicant Company No.2 are wholly owned subsidiaries of the Applicant Company No.3, no shares will be issued by the Applicant Company No.3 to the shareholders of the Applicant Company No.1 and Applicant Company No.2 pursuant to the Composite Scheme of Arrangement. The Ld. Counsel further submits that since no shares will be issued by the Applicant Company No.3, there shall be no impact on the equity Shareholders and Preference Shareholders of the Applicant Company No.3.

13. The Applicant Companies had placed on record the convenience chart summarizing the position of the shareholders and creditor of the applicant companies. The convenience chart is presented below:-

CHART SHOWING THE STATUS OF THE SHAREHOLDERS, SECURED CREDITORS AND UNSECURED CREDITORS OF THE APPLICANT COMPANIES

Name of the Company	No. of Equity Shareholders	No. of Preference Shareholders	Consent(s) Given	No. of Secured Creditors as on July 31, 2022	No. of Unsecured Creditors as on July 31, 2022
Transferor Company	As on June 30, 2022, there are 7 equity shareholders. CA Certificate cetifying list of shareholders is attached as **Annexure- 6 (Page 285-286)**	NIL	Consent affidavit is given by 6 shareholders holding 99.99% shares **Annexure- 6 (Page no. 287-298)**	NIL CA Certificate attached as **Annexure 7 (Page 299)**	Total 296 Unsecured Creditors as on July 31, 2022 CA Certificate attached as **Annexure 8 (Page 300-304)**
Demerged Company	As on June 30, 2022, there are 7 equity shareholders. CA Certificate cetifying list of shareholders is attached as **Annexure- 15 (Page 388-389)**	NIL	Consent affidavit is given by 6 shareholders holding 99.99% shares **Annexure- 15 (Page no. 390-401)**	NIL CA Certificate attached as **Annexure 16 (Page 402-404)**	Total 93 Unsecured Creditors as on July 31, 2022 CA Certificate attached as **Annexure 16 (Page 402-404)**
Transferee / Resulting Company	As on August 08, 2022, there are 1,17,942 equity shareholders. CA Certificate cetifying the shareholding pattern is attached as **Annexure- 25 (Page 750-757)**	As on August 08, 2022, there are 8 non-convertible preference shareholders. CA Certificate cetifying the list of preference shareholders is attached as **Annexure- 25 (Page 750-751 & 757)**	Applicant companies has applied for dispensation of meeting of equity shareholders and preference shareholders on the grounds specified in Joint Application	As on July 31, 2022, there are 6 secured creditors. CA Certificate cetifying the list of secured creditors is attached as **Annexure 26 (Page 759-760)**	As on July 31, 2022, there are 2,736 unsecured creditors. CA Certificate cetifying the list of unsecured creditors is attached as **Annexure 27 (Page 761-787)**

For Uno Minda Limited
Authorised Signatory

For Minda Storage Batteries Pvt. Ltd.
Authorised Signatory

For Harita Fehrer Limited
Authorised Signatory

14. The Learned Counsel for the Applicant Companies submits that the Applicant Company No.1 has 7 (Seven) Equity Shareholders and that the Applicant Company No.1 has procured the consent affidavits, in writing agreeing to the proposed Scheme from 6 (Six) Equity Shareholders holding 99.99% of the Equity Share Capital of the Applicant Company No.1. The Chartered Accountant certified list of the Equity Shareholders of the Applicant Company No.1 as on 30.06.2022 along with the consent affidavits executed by 6 equity shareholders of the Applicant Company No.1 is annexed as **'Annexure A-6 (Coll.)'** at page no. 285 -298 to the Company Scheme Application. The Learned Counsel for the Applicant Companies further submits that as far as Equity Shareholders of the Applicant Company No.1 is concerned, the Applicant Company No.1 is not required to convene the meeting of its Equity Shareholder in view of the fact that the Applicant Company No.1 is a wholly owned subsidiary of the Applicant Company No.3.

15. The Learned Counsel for the Applicant Companies submits that there are 'Nil' Secured Creditors in the Applicant Company No.1. Therefore, there is no requirement of convening and holding such meeting of Secured Creditors of the Applicant Company No.1. The certificate of the chartered accountant certifying nil list of the Secured Creditors of the Applicant Company No.1 as on 31.07.2022 is annexed as '**Annexure A-7'** at page no.299 to the Company Scheme Application.

16. The Learned Counsel for the Applicant Companies submits that there are '296' Unsecured Creditors aggregating to the value of Rs.76,24,35,041.32/- as on 31.07.2022 in the Applicant Company No.1. The certificate of the chartered accountant certifying list of the Unsecured Creditors of the Applicant Company No.1 as on 31.07.2022 is annexed as '**Annexure A-8'** at page no. 300-304 to the Company Scheme Application. The ld. Counsel for the Applicant Companies sought dispensation of the meeting of the unsecured creditors of the Transferor Company/ Applicant Company No.1 in view of the Transferor Company being Wholly Owned Subsidiary of the

Transferee Company/ Applicant Company No.3 and the net worth of both Transferor and Transferee Company being positive.

17. The Learned Counsel for the Applicant Companies submit that the Applicant Company No.2 has 7 (Seven) Equity Shareholders and that the Applicant Company No.2 has procured the consent affidavits, in writing agreeing to the Scheme from 6 (Six) Equity Shareholders holding 99.99% of the issued, subscribed and paid-up Share Capital of the Applicant Company No.2. The Chartered Accountant certified list of the Equity Shareholders of the Applicant Company No.2 as on 30.06.2022 along with the consent affidavits executed by 6 equity shareholders of the Applicant Company No.2 is annexed as **'Annexure A-15'** at page no.388-401 to the Company Scheme Application. The Learned Counsel for the Applicant Companies further submits that as far as Equity Shareholders of the Applicant Company No.2 is concerned, the Applicant Company No.2 is not required to convene the meeting of its Equity Shareholder in view of the fact that the Applicant Company No.2 is a wholly owned subsidiary of the Applicant Company No.3.

18. The Learned Counsel for the Applicant Companies submits that there are 'Nil' Secured Creditors in the Applicant Company No.2. Therefore, there is no requirement of convening and holding such meeting of Secured Creditors of the Applicant Company No.2. The certificate of the chartered accountant certifying nil list of the Secured Creditors of Applicant Company No.2 as on 31.07.2022 is annexed as **'Annexure A-16'** at page no. 402-404 to the Company Scheme Application.

19. The Learned Counsel for the Applicant Companies submits that there are '93' Unsecured Creditors aggregating to the value of Rs.10,15,73,850.10 as on 31.07.2022 in the Applicant Company No.2. The certificate of the chartered accountant certifying list of the Unsecured Creditors of the Applicant Company No.2 as on 31.07.2022 is annexed as '**Annexure A-17'** at page no. 403-406 to the Company Scheme Application. The ld. Counsel for the Applicant Companies sought dispensation of the meeting of the unsecured creditors of the Demerged Company/ Applicant Company No.2 in

view of the Demerged Company/Applicant Company No.2 being Wholly Owned Subsidiary of the Resulting Company/ Applicant Company No.3 and the net worth of both Demerged Company and Resulting Company being positive.

20. The Learned Counsel for the Applicant Companies submit that the Applicant Company No.3 has 1,17,942 Equity Shareholders as on 08.08.2022 and 08 non-convertible Redeemable Preference Shareholders. The Chartered Accountant certified list of the Equity Shareholders of the Applicant Company No.3 as on 08.08.2022 and Chartered Accountant certified list of the Preference Shareholders of the Applicant Company No.3 as on 08.08.2022 is annexed as **'Annexure A-25'** at page no.750-757 to the Company Scheme Application. The Learned Counsel for the Applicant Companies submits that there are '6' Secured Creditors aggregating to the value of Rs. 2,71,27,63,398/- and '2,736' Unsecured Creditors aggregating to the value of Rs.10,15,73,850.10/-. The Chartered Accountant certified list of the Secured Creditors of the Applicant Company No.3 as on 31.07.2022 and Chartered Accountant certified list of the Unsecured Creditors of the Applicant Company No.3 as on 31.07.2022 are annexed as **'Annexure A-26'** at page no.763-764 and '**Annexure A-27'** at page no.765-813 to the Company Scheme Applicationas The Learned Counsel for the Applicant Companies further submits that as far as Equity Shareholders, Non-Convertible Redeemable Preference shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company No.3 are concerned, the Applicant Company No.3 is not required to convene the meeting in view of the fact that the Applicant Company No.1 and Applicant No.2 are wholly owned subsidiary of the Applicant Company No.3. Further, the Ld. Counsel for the Applicant Companies had placed reliance on the following citations:-

a) **The Mumbai Bench of the NCLT vide its order dated September 4, 2017 in the matter concerning the amalgamation between wholly owned subsidiary companies in Company Scheme Application No. 243 of 2017**
b) **The Bengaluru Bench of the NCLT vide its order dated June 28, 2017 in the matter of ORCC Solutions Private Limited in TP No. 172 of 2017 in C.P. No. 107 of 2016;**

c) **The National Company Law Appellate Tribunal in the matter of DLF Phase IV, Commercial Developers Limited and Ors. in Company Appeal (AT) No. 180 of 2019;**
d) **The National Company Law Appellate Tribunal in the matter of Ambuja Cements Limited in Company Appeal (AT) No. 19 of 2021;**
e) **The National Company Law Appellate Tribunal in the matter of Ericsson India Private Limited in Company Appeal (AT) No. 148 of 2021;**
f) **The New Delhi Bench of National Company Law Tribunal in the matter of Lumax Mattalics Private Limited [CA.CAA-55(ND)/2022]**

21. Heard. Record perused thoroughly. On a meticulous perusal of the proposed Scheme of Arrangement between the Applicant Companies, we observe that the proposed Scheme presented under Section 230-232 is devised for two completely different arrangements between the Applicant Company No.1 with Applicant Company No.3 and Applicant Company No.2 with Applicant Company No.3. The proposed Scheme of Arrangement provides as follow:-

A. Amalgamation of M/s. Harita Fehrer Limited ("Transferor Company"/ "Applicant Company No.1") into UNO Minda Limited (formerly known as Minda Industries Limited) ("Transferee Company"/"Applicant Company No.3") and dissolution of the Transferor Company without winding up as per Part II of the Scheme and;
B. Merger of Demerged Undertaking of Minda Storage Batteries Private Limited ("Demerged Company"/ "Applicant Company No.2") into UNO Minda Limited (formerly known as Minda Industries Limited) ("Resulting Company"/ "Applicant Company No.3") as per Part III of the Scheme.

A. In relation to Transferor Company/Applicant Company No.1 and Transferee Company/ Applicant Company No.3 with respect to Part-II of the proposed Scheme of Arrangement which provides for Amalgamation of the Transferor Company/Applicant Company No.1 with the Transferee Company/ Applicant Company No.3

i) From the submissions averred by the Applicant Companies and documents placed on record, we find that the Applicant Company No.1 is the wholly owned subsidiary company of the Applicant Company No.3 and the proposed Scheme for Arrangement in Part-II provides Amalgamation of the Transferor Company/Applicant Company No.1 with the Transferee Company/ Applicant Company No.3. Further, their will be no issue of equity shares to the members of the Transferor Company/Applicant Company No.1 in consideration of the amalgamation, Applicant Company No.1 being a wholly owned subsidiary of the Transferee Company/Applicant Company No.3.

ii) **The Hon'ble NCLAT in 'Mohit Agro Commodities Processing Pvt Ltd. & Ors.' in Company Appeal (AT) No. 59 of 2021 Judgement dated 28.06. 2021** held that *"in the present matter the amalgamation sought for is between a* ***Wholly Owned Subsidiary and the Holding Company;*** *Further, observes that the rights and liabilities of secured and unsecured creditors were not getting affected in any manner by way of the proposed scheme as no new shares were being issued by the Transferor company, and no compromise was offered to any creditor of the Transferee company. Thus, reiterates that when the Transferor and Transferee Company involve a parent Company and a Wholly Owned Subsidiary, the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors can be dispensed with, as the facts of this case substantiate that the rights of the Equity Shareholders of the Transferee Company are not being affected'.*

iii) The same view is taken by the Hon'ble NCLAT in **'Ericsson India Private Limited' in Company Appeal (AT) No. 148 of 2021 wherein the Hon'ble NCLAT observed that '***as the merger is of a Wholly Owned Subsidiary Company into its holding Company, no shares would be allotted as consideration pursuant to the merger; the proposed Scheme will not result in any dilution in the Shareholding of the Shareholders of the 'Transferee Company', the net worth of the 'Transferee Company' is positive, and 'Unsecured Creditors' are paid off in the ordinary course of business and their liability is not affected as it is neither reduced nor*

extinguished, the meeting of the shareholders and creditors of the Transferee Company may be dispensed with.'

iv) Further, on the perusal of the standalone audited financial statements of the Applicant Company No.1 and Applicant Company No.3 as on 31.03.2022 and the respective certificate dated 27.08.2022 from Chartered Accountant certifying the positive net worth of the applicant companies, it is substantiated that the Net Worth of the Applicant Company No.1 and Applicant Company No.3 are positive. Accordingly, we are of the considered view that the Equity Shareholders and Unsecured Creditors of the Transferor Company/Applicant Company No.1, are not likely to be affected by the Scheme.

B. In relation to Demerged Company/Applicant Company No.2 and Resulting Company/ Applicant Company No.3 with respect to Part-III of the proposed Scheme of Arrangement which provides for Demerger and Vesting of the Demerged Undertaking into Resulting Company/Applicant Company No.3

i) From the submissions averred by the Applicant Companies and documents placed on record, we find that the Applicant Company No.2 is the wholly owned subsidiary company of the Applicant Company No.3 and the proposed Scheme for Arrangement in Part-III provides Demerger and Vesting of Demerged Undertaking of the Demerged Company/ Applicant Company No.2 into Resulting Company / Applicant Company No.3.

ii) At this juncture, it is relevant to understand the difference between the expression "Amalgamation" and "Demerger". As the name suggests Amalgamation and Demerger are totally opposite terms. In case of amalgamation, the Amalgamating company transfers all its existing properties to the Amalgamated company and get legally combined into Amalgamated Company and the Amalgamating Company stands dissolved. However, in the Demerger Arrangement, only some parts or some of the rights such as undertaking ('Demerged Undertaking') of Demerged Company are transferred to Resulting Company whereas the

remainder of the Demerged Undertaking remains vested in the Demerged Company and both the Demerged Company and Resulting Company retain their existence after demerger.

iii) Further, the Standalone Audited Financial Statements of the Applicant Company No.2 and Applicant Company No.3 as on 31.03.2022 and the respective certificate dated 27.08.2022 from Chartered Accountant certifying the positive net worth of both the Applicant CompanNo.2 and Applicant Company No.3 have been placed on record to supplement the prayer seeking dispensation of the meetings of the shareholders and creditors of the Applicant Company No.2 and Applicant Company No.3.

iv) The Hon'ble NCLAT in **the matter of DLF Phase IV, Commercial Developers Limited and Ors. in Company Appeal (AT) No. 180 of 2019 in its judgement dated 19.08.2019** has set aside the order dated 07.06.2019 passed in CA.(CAA)No.39/Chd/Hry/2018 to the extent it relates to directions for convening of the meetings of Unsecured Creditors of Appellant No. 4 (Demerged Company) and the meetings of the Equity Shareholders, Secured and Unsecured Creditors of Appellant No.5 (Transferee Company) and observed as follow:-

" After hearing learned counsel for Appellants we find that the Appellants DLF Phase IV Commercial Developers Ltd. (Transferor Company No. 1), DLF Real Estate Builders Ltd. (Transferor Company No. 2), DLF Residential Builders Ltd. (Transferor Company No.3) and DLF Utilities Ltd. (Demerged Company) are wholly owned subsidiaries of the Holding Company 'DLF Ltd.' (Transferee Company). The Appellant Companies proposed a scheme of arrangement interse them, under Section 230-232 of the Act and to achieve the said object filed first motion being CA NO. 39 before the Tribunal seeking directions for dispensation of the meetings of Shareholders, separate debenture holders, warrant holders, compulsorily convertible debenture (CCD) holders and Secured and Unsecured Creditors of the Appellant Companies. According to the case setup by Appellants, ***the proposed scheme would not result in any dilution in the shareholding of shareholders of Transferee Company, which has highly positive net worth. It appears that in regard to meetings of***

Unsecured Creditors of Appellant No. 4 (Demerged Company) and Shareholders, Secured and Unsecured Creditors of the Appellant No. 5 (Transferee Company) the Appellants submitted before the Tribunal that in view of settled legal position and various judicial precedents such meetings were not required to be held. It was further submitted that creditors are also not affected since the Scheme does not envisage any reduction in their claims and the Transferee Company."

22. In the aforementioned facts and circumstances of the case **DLF Phase IV (Supra),** the Hon'ble NCLAT have directed the Tribunal to reconsider the dispensation of meetings of unsecured creditors of the Demerged Company in view of the settled position of law and various judicial pronouncements.

23. Taking into consideration aforesaid discussions and the judgements, we issue the following directions :

A1. In relation to Transferor Company/Applicant Company No.1

i) **With respect to convening the meeting of the Equity Shareholders: -**
In view of the fact that the Applicant Company No.1 have obtained consents affidavits from 99.99% of the Equity Shareholders and the consent affidavits filed by 6 Equity Shareholders of the Applicant Company No.1 are placed on record as well as the fact that the Applicant Company No.1 is a wholly owned subsidiary of the Transferee Company/Applicant Company No.3, the meeting of the Equity Shareholders of the Applicant Company No.1, for the purpose of considering and, approving the **Scheme is hereby dispensed with.**

ii) **With respect to convening the meeting of the Secured Creditors: -**
There are no secured creditors in the Applicant Company No.1, hence the requirement of convening the meeting of the Secured Creditors of the Applicant Company No.1 **does not arise.**

iii) **With respect to convening the meeting of the Unsecured Creditors: -** There are '296' Unsecured Creditors aggregating to the value of Rs.76,24,35,041.32/- in the Applicant Company No.1. However, In view of the aforesaid discussions and the ratio laid down by the **Hon'ble NCLAT in 'Ambuja Cements Limited' in Company Appeal (AT) No. 19 of 2021 Judgement dated 06.04. 2021, 'Mohit Agro Commodities Processing Pvt Ltd. & Ors.' in Company Appeal (AT) No. 59 of 2021 Judgement dated 28.06. 2021 and 'Ericsson India Private Limited' in Company Appeal (AT) No. 148 of 2021; Judgement dated 18.01.2022**, and also considering the fact that the Part – II of the proposed scheme of arrangement provides for amalgamation between the Applicant Company No.1 and Applicant Company No.3 being the wholly owned subsidiary and holding company respectively and net worth of both the Applicant Company No.1 and Applicant Company No.3 are positive, the requirement of convening and holding the meeting of the Unsecured Creditors of the Applicant Company No.1 **is hereby dispensed with.**

iv) The Applicant Company No.1 is further directed to serve notice along with copy of scheme upon: (1) the Regional Director (Northern region), Ministry of Corporate Affairs, Delhi; (2) the Registrar of Companies, NCT of Delhi & Haryana; (3) Income Tax Authority within whose jurisdiction the Applicant Company No.1 is assessed to tax; (4) Official Liquidator, Lok Nayak Bhavan, 8th Floor, Khan Market, New Delhi-11001 and any other sectoral authorities who may have bearing on the operation of the Applicant Company No.2, pursuant to Section 230(5) of the Companies Act, 2013 and Rule 8 of the Companies (Compromises Arrangements and Amalgamations) Rules, 2016. If no response is received by the Tribunal from such authorities within 30 days of the date of receipt of the notice, it will be presumed that they have no objection to the proposed Scheme.

A2. In relation to Demerged Company/Applicant Company No.2

i) **With respect to convening the meeting of the Equity Shareholders: -**
In view of the fact that the Applicant Company No.2 have obtained consents affidavits from 99.99% of the Equity Shareholders and the consent affidavits filed by 6 Equity Shareholders of the Applicant Company No.2 are placed on record as well as the fact that the Applicant Company No.2 is a Wholly Owned Subsidiary of the Transferee Company/Applicant Company No.3, the meeting of the Equity Shareholders of the Applicant Company No.2, for the purpose of considering and, approving the Scheme is hereby **dispensed with.**

ii) **With respect to convening the meeting of the Secured Creditors: -**
There are no secured creditors in the Applicant Company No.2, hence the requirement of convening the meeting of the Secured Creditors of the Applicant Company No.2 **does not arise.**

iii) **With respect to convening the meeting of the Unsecured Creditors: -**
The Applicant Company No.2 have '93' Unsecured Creditors aggregating to the value of Rs.10,15,73,850.10/- as on 31.07.2022. However, both the Applicant Company No.2 and Applicant Company No.3 are having positive net worth and Applicant Company No.2 is a Wholly Owned Subsidiary of the Transferee Company/Applicant Company No.3. Therefore, in the light of the aforementioned discussions specifically in Para 21 B of the present order and in view of the ratio laid down by **Hon'ble NCLAT in DLF Phase IV, Commercial Developers Limited and Ors. in Company Appeal (AT) No. 180 of 2019,** meeting of the Unsecured Creditors of the Applicant Company No.2 is **hereby dispensed with.**

iv) The Applicant Company No.2 is further directed to serve notice along with copy of scheme upon: (1) the Regional Director (Northern region), Ministry of Corporate Affairs, Delhi; (2) the Registrar of Companies, NCT of Delhi & Haryana; (3) Income Tax Authority within whose jurisdiction the Applicant Company No.1 is assessed to tax; and any other sectoral

authorities who may have bearing on the operation of the Applicant Company No.2, pursuant to Section 230(5) of the Companies Act, 2013 and Rule 8 of the Companies (Compromises Arrangements and Amalgamations) Rules, 2016. If no response is received by the Tribunal from such authorities within 30 days of the date of receipt of the notice, it will be presumed that they have no objection to the proposed Scheme.

v) On perusal of the scheme, we observe that the no schedule of Assets and Liabilities of the Demerged Undertaking ('domestic manufacturing & trading business of Demerged Company') and the remaining undertaking of the Demerged Company with their book value or fair value is annexed in the scheme. Therefore, the Applicant Company No.2 is directed to place on record the schedule of Assets and liabilities with the Book Value or Fair Market Value of the Demerged Undertaking and the Remaining Undertaking of the Applicant Company No.2.

A3. In relation to Transferee Company/Applicant Company No.3

i) With respect to convening the meeting of the Equity Shareholders: -

It is observed that the Applicant Company No.3 has 1,17,942 Equity Shareholders. Further, the Applicant Company No.1 and Applicant Company No. 2 are both wholly owned subsidiaries of the Applicant Company No.3 and net worth of all the three Applicant Companies i.e., Applicant Company No.1, Applicant Company No.2 and Applicant Company No.3 are positive. Further, there will be no dilution in the shareholding of shareholders of Applicant Company No.3 as no shares are issued in consideration to the composite Scheme of Arrangement. Accordingly, the meeting of the Equity Shareholders of the Applicant Company No.3, for the purpose of considering and, approving the proposed Scheme is **hereby dispensed with.**

ii) With respect to convening the meeting of the Non-Convertible Redeemable Preference Shareholders: -

In view of the fact that the Applicant Company No.3 has 8 Non-Convertible Redeemable Preference Shareholders and in view of the fact that both the Applicant Company No.1 and Applicant Company No. 2 are the wholly owned subsidiaries of the Applicant Company No.3 and net worth of all the three Applicant Companies i.e., Applicant Company No.1, Applicant Company No.2 and Applicant Company No.3 are positive, the meeting of the Preference Shareholders of the Applicant Company No.3, for the purpose of considering and, approving the proposed Scheme is **hereby dispensed with.**

iii) With respect to convening the meeting of the Secured Creditors: -

In view of the facts that Applicant Company No.3 have '6' Secured Creditors aggregating to the value of Rs.2,71,27,63,398/- as on 31.07.2022 and in the light of the aforementioned discussions specifically in Para 21 of the present order and in view of the ratio laid down in the judgements cited therein**,** the meeting of Secured Creditors of the Applicant Company No.3, for the purpose of considering and, approving the proposed Scheme is **hereby dispensed with.**

iv) With respect to convening the meeting of the Unsecured Creditors: -

In view of the facts that Applicant Company No.3 have '2,736' Unsecured Creditors aggregating to the value of Rs.10,15,73,850.10/- as on 31.07.2022 and in the light of the aforementioned discussions specifically in Para 21 of the present order and in view of the ratio laid down in the judgements cited therein**,** meeting of the Unsecured Creditors of the Applicant Company No.3, for the purpose of considering and, approving the proposed Scheme is **hereby dispensed with.**

v) The Applicant Company No.3 is further directed to serve notice along with copy of scheme upon: (1) the Regional Director (Northern region), Ministry of Corporate Affairs, Delhi; (2) the Registrar of Companies, NCT of Delhi &

Haryana; (3) Income Tax Authority within whose jurisdiction the Applicant Company No.1 is assessed to tax; (4) Securities and Exchange Board of India ('SEBI'); (5) BSE; (6) NSE and any other sectoral authorities who may have bearing on the operation of the Applicant Company No.3, pursuant to Section 230(5) of the Companies Act, 2013 and Rule 8 of the Companies (Compromises Arrangements and Amalgamations) Rules, 2016. If no response is received by the Tribunal from such authorities within 30 days of the date of receipt of the notice, it will be presumed that they have no objection to the proposed Scheme.

24. The Applicant Companies shall also host the notices directed herein, on their respective websites, if any.

25. The Applicant Companies are directed to file compliance report with this Tribunal in regard to the directions given in this Order proving dispatch of notices to the regulatory authorities as stated above and do report to this Tribunal that the directions regarding the issue of notices have been duly complied with.

26. Having heard the submissions made by Ld. Counsel and having perused the records as well as documents placed on record, ***we allow the prayer for dispensation of the meetings of the Shareholders and creditors of Applicant Company No. 1, No. 2 and No. 3.***

Sd/-

(DR. BINOD KUMAR SINHA)
MEMBER (T)

Sd/-

(BACHU VENKAT BALARAM DAS)
MEMBER (J)